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Case Number: 24STCV30709 Hearing Date: June 23, 2026 Dept: 400

MOTION FOR SUMMARY JUDGMENT

OR ALTERNATIVELY SUMMARY ADJUDICATION

Summary

of Action:

Smart Capital Investments I, LLC, Smart Capital Investments

II, LLC, Smart Capital Investments III, LLC, Smart Capital Investments IV, LLC,

and Smart Capital Investments V, LLC (collectively, "Plaintiffs" or "SCI")

commenced this action on March 13, 2025, against Defendants Adi McAbian

("Defendant"), all persons/entities claiming interest adverse to Plaintiffs,

and Does 1 to 50, inclusive. The operative and verified First Amended Complaint

(FAC) asserts causes of action for: 1) Quiet Title Pursuant to California Code

of Civil Procedure § 760.010, et seq.; and 2) Cancellation of Written

Instrument Pursuant to California Civil Code § 3412, et seq. Plaintiffs filed

their instant motion for summary judgment or summary adjudication on March 27,

2026. Defendant filed his opposition on June 3, 2026. Plaintiffs filed their

reply on June 12, 2026.

Analysis:

Plaintiffs

move for summary judgment or, in the alternative, summary adjudication of their

first cause of action for quiet title and second cause of action for

cancellation of written instrument.

A.

Evidentiary

Objections

Defendant

raises various objections to Plaintiffs' evidence offered in support of the

motion. The Court rules on those objections as follows.

Objections to the declaration of Michael Chang's Assistant,

Daniel Kim ("Kim")

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Nos. 1 and 2 are sustained on the

ground of speculation.

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Nos. 3 and 5 are overruled.

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No. 4 is sustained on the ground of

hearsay.

Objections

to the declaration of Michael Chang

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No. 1 is sustained on the ground of speculation.

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Nos. 2, 3, 6, and 7 are overruled.

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No. 4 is sustained on hearsay and

lack of personal knowledge grounds.

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No. 5 is sustained for lack of

personal knowledge.

Plaintiffs raise objections to Defendant's evidence

submitted in support of the opposition. The objections are listed by paragraph

numbers rather than in consecutive order. The Court rules on those objections

as follows.

Objections to the declaration of McAbian.

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Paragraphs 1 to 23: Overruled.

Contrary to Plaintiffs' arguments, the McAbian's declaration filed with the

Court is signed and made under penalty of perjury.

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Paragraphs 7, 11, 14, 21, 22:

Overruled.

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Paragraphs 10, 16: Sustained on

improper opinion grounds.

Objections

to the declaration of Elizabeth Gower

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Paragraphs 5, 9, 10, and 11: Overruled

No other

evidentiary objections were filed by the parties.

B.

Requests for

Judicial Notice

In support

of their motion, Plaintiffs have filed a request for judicial notice of the following documents:

1. [Exhibit A] Filings with the California Secretary of State for Top Capital Partners, LLC's Articles of Organization dated April 7, 2006, and a Statement of Information dated April 25, 2016.

2. [Exhibit B] Filing with the California Secretary of State for New Vision Horizon, LLC's Articles of Organization dated June 3, 2010.

3. [Exhibit C] Filings with the California Secretary of State for Smart Capital Investments I-V, LLCs Statements of Information from 2018 through 2026.

4. [Exhibit D] Recording with the Los Angeles County Recorder's Office, Recording No. 20091966196, recording date December 24, 2009, of a Master Covenant and Agreement signed by Kevin K. Choe dated December 22, 2009, and notarized on December 22, 2009.

5.

[Exhibit E] Hawkeye's Reply in Support of Motion of Hawkeye Entertainment, LLC for Order to Show Cause re Civil Contempt for Violation of Automatic Stay by Smart Capital Investments I, LLC, Smart Capital Investments II, LLC, Smart Capital Investments III, LLC, Smart Capital Investments IV, LLC, Smart Capital Investments V, LLC; Memorandum of Points and Authorities and Declarations in Support, filed on June 6, 2025, in the matter In re Hawkeye Entertainment, LLC, Case No. 1:23-bk-11501-MB, Chapter 11.

6.

[Exhibit F] Two recorded documents with Recording Nos. 20130383582 and 20130383685 with the Los Angeles County Recorder's Office, consisting of two identical copies of a Master Covenant and Agreement signed by Defendant AMcAbian, dated March 11, 2013, notarized on March 11, 2013.

(Plaintiffs' Request for Judicial Notice, filed March 27, 2026 (SCI RJN), pp. 1:9-2:11.)

In support of the opposition, Defendant filed a request for judicial notice of the following documents.

1.

“Order Granting Motion of Hawkeye Entertainment, LLC, for Partial Summary Judgment – Memorandum of Decision (‘Hawkeye MPSJ Order’), entered on December 8, 2025, in In re Hawkeye Entertainment, LLC (Bankr. C.D. Cal., Dec. 8, 2025, No. 1:23-bk-11501) __ B.R. __, 2025 WL 3522466, Dkt. No. 371, in the United Stated Bankruptcy Court for the Central District, a true and correct copy of which is attached hereto as Exhibit A. (Evid. Code, §§ 452, subds. (c), (d)(1) & (h) and 453.)

2.

“Master Covenant and Agreement recorded December 24, 2009, in the Los Angeles County Recorder’s Office as Instrument No. 20091966196, a true and correct copy of which is attached hereto as Exhibit B. (Evid. Code, §§ 452, subds. (c) & (h) and 453.)

3.

“Grant Deed recorded December 28, 2010, in the Los Angeles County Recorder’s Office as Instrument No. 29191825646, a true and correct copy of which is attached hereto as Exhibit C. (Evid. Code, §§ 452, subds. (c) & (h) and 453.)

4.

“Grant Deed recorded May 13, 2016,

in the Los Angeles County Recorder's Office as Instrument No. 20160553931, a true and correct copy of which is attached hereto as Exhibit D. (Evid. Code, §§ 452, subds. (c) & (h) and 453.)

5.

"Grant Deed recorded January 24, 2018, in the Los Angeles County Recorder's Office as Instrument No. 20180076572, a true and correct copy of which is attached hereto as Exhibit E. (Evid. Code, §§ 452, subds. (c) & (h) and 453.)

6.

"Complaint filed by Hawkeye Entertainment, LLC, et al, on June 30, 2011, in Hawkeye Entertainment, LLC, et al. v. New Vision Horizon, LLC, LA Superior Ct. No. BC464610, in the Los Angeles Superior Court, a true and accurate copy of which is attached hereto as Exhibit F. (Evid. Code, §§ 452, subds. (c), (d)(1) & (h) and 453.)

7.

"Provident Title Report, December 7, 2021, a true and accurate copy of which is attached hereto as Exhibit G. (Evid. Code, §§ 452, subds. (c), (d)(1) & (h) and 453.)"

(Defendant's Request for Judicial Notice, filed June 3, 2026, pp. 2:7-3:2.)

The Court

grants those requests for judicial notice. (Hardie v. Nationstar Mortgage LLC (2019) 32 Cal.App.5th 714, 718, fn. 3 [stating that courts "may take judicial notice of the existence, facial contents, and legal effect of recorded documents and court records (Evid. Code, §§ 452, subds. (c), (d), (h); [citations]) …"]; but see In re Joseph H. (2015) 237 Cal.App.4th 517, 541 ["We can take judicial notice of official acts and public records, but we cannot take judicial notice of the truth of the matters stated therein"]; Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort (2001) 91 Cal.App.4th 875, 882 ["while courts are free to take judicial notice of the existence of each document in a court file, including the truth of results reached, they may not take judicial notice of the truth of hearsay statements in decisions and court files" (italics removed)].)

In support

of their reply papers, Plaintiffs filed a request for judicial notice of (1) PAX America Development, LLC's filings with the California Secretary of State; and (2) a conformed copy of the Bankruptcy Court's ruling on Hawkeye Entertainment, LLC's Motion for Order to Show Cause re Violation of Automatic Stay. (Plaintiffs' Request for Judicial Notice, filed June 12, 2026.)

The Court

denies that request for judicial notice as Defendant did not have the opportunity to address the documents in his opposition.

C.

Legal

Standard

The function of a motion for summary judgment or adjudication is to allow a determination as to whether an opposing party can show evidentiary support for a claim or defense and if not to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Code of Civil Procedure Section 437c, subdivision (c) “requires the trial judge to grant summary judgment if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.” (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

“A plaintiff … has met that party’s burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(1).) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party." (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389 (Dore).)

"Once the plaintiff … has met that burden, the burden shifts to the defendant … to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code Civ. Proc., § 437c, subd. (p)(1).) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

D. Discussion

Plaintiffs argue that they are entitled to judgment as a matter of law as to their first cause of action for quiet title and second cause of action for cancellation of written instrument because (1) they are the undisputed owners of the Property and, (2) therefore, the 2013 MCA that Defendant McAbian signed and recorded under the Property's title, claiming to be the owner of the Property, is void and should be cancelled. Defendant contends that never claimed himself to be the owner but also raises several defenses to Plaintiffs' claims.

Plaintiffs have established the elements of their first cause of action for quiet title, and Defendant has failed to meet his burden of establishing triable issues of material fact exist as to that claim.

"[A] plaintiff moving for summary judgment on a quiet title claim … b[ears] the burden to make out a prima facie case of ownership." (Thompson v. Ioane (2017) 11 Cal.App.5th 1180, 1195 (Thompson).)

"To prevail on a quiet title claim, a plaintiff must establish title to the property in dispute. ([Code Civ. Proc.] § 761.020; [citation].) 'The plaintiff may recover only upon the strength of his or her own title ... and not upon the weakness of the defendant's title.'" (Thompson, supra, 11 Cal.App.5th at p. 1195.) "'Where the plaintiff relies on a paper title alone, he must trace his title (1) to the government; or (2) to grantor in possession at the time of the conveyance to the plaintiff; or (3) to a source common to the chains of title of plaintiff and defendant.' [Citation.]" (Ibid.)

Here, Plaintiffs have traced their title through the following undisputed material facts. Michael Chang ("Chang") was a member of New Visions Horizon LLC ("NVH") when it acquired the Property in 2010. (Defendant's response to Plaintiff's separate statement of undisputed material facts, filed June 3, 2026 ("UMF"), 5.) "In May 2016, NVH transferred the majority ownership of the Property pursuant to a Grant Deed to a group of tenants in common consisting of the entities and individuals but maintained an ownership share." (UMF 6.) "The transfer of ownership to the tenants in common group resulted in the ownership of the Property as: (i) BYS Group, Inc., (ii) Zion Property Group Inc., (iii) Ik Seon Choi, (iv) Blu Cosmo Investments, LLC, (v) P&Y Realty Partners, LLC, (vi) Atoz Investments, LLC, (vii) Dong K. Yi, and (viii) [NVH]." (UMF 7.) "In 2018, the tenants in common owners of the Property transferred full ownership of the Property to Plaintiffs SCI pursuant to a grant deed." (UMF 10.) "Plaintiffs SCI's members consisted of NVH, P&Y Realty Partners, LLC, Atoz Investments, LLC, EOTT Maie Avenue LLC, and Skyline Premium Holdings, LLC, in which [Chang] was the managing member for the collective." (UMF 11.) "All membership interests in Plaintiffs SCI were later transferred to [Chang], leaving him as the sole member and managing member of Plaintiffs SCI." (UMF 12.) Defendant "does not dispute Plaintiffs SCI are the present owners of the Property." (UMF 13.)

However,

"'[a]n element of a cause of action for quiet title is "[t]he adverse claims to the title of the plaintiff against which a determination is sought." (Code Civ. Proc., § 761.020, subd. (c).)' [Citation.]" (Orcilla v. Big Sur, Inc. (2016) 244 Cal.App.4th 982, 1010.) A quiet title claim does not exist against a party with no adverse claims. (See e.g., ibid. ["On appeal, the Orcillas concede that ‘the Bank Defendants have no Adverse claims to title.’ That acknowledgement dooms their quiet title claim against the Bank Defendants”].)

“The adverse claim is not required to ‘be of any particular character.’ [Citation.] A quiet title action is ‘“not confine[d] ... to the case of an adverse claimant setting up a legal title or even an equitable one; but the [statute] intended to embrace every description of claim whereby the plaintiff might be deprived of the property, or its title clouded, or its value depreciated, or whereby the plaintiff might be incommoded or damnified by the assertion of an outstanding title already held or to grow out of the adverse pretension.”’ [Citations.]” (Water for Citizens of Weed California v. Churchwell White LLP (2023) 88 Cal.App.5th 270, 281.)

The Court finds that, based on that language, Plaintiffs have met their initial burden of showing that Defendant has claimed an interest adverse to Plaintiffs. Chang testifies that he reviewed “two recorded MCAs (Recording Nos. 20130383582 and 20130383685) [which] confirmed [Defendant] identified himself as and signed as the owner of the Property on the 2013 MCA, had the 2013 MCA notarized, and had the 2013 MCA recorded twice with the Los Angeles County Record’s Office.” (Chang Decl., ¶ 14 ; Exh. 12.) The Court notes that although Defendant filed evidentiary objections to Paragraph 14 of Chang’s declaration, the objections were directed at the first sentence of that paragraph, not the sentence cited by the Court. (See Ruling on Objections to Declaration of Michael Chang, Objection No. 4 above.) Neither has Defendant objected to the admission of Exhibit 12 of Chang's declaration, which contains the 2013 MCA. Defendant admits that he signed the 2013 MCA bearing recording number 20130383685. (UMF 38.) The 2013 MCA bearing recording number 20130383685 states in relevant part: "The undersigned hereby certifies I am (we are) the owner(s) of the hereinafter legally described property located in the City of Los Angeles, Count of Los Angeles …," "Site Address 618 S. Spring St, Los Angeles, CA 90014 …." (Chang Decl., Exh. 12, page SCI-001416 [emphasis added].) The Court finds that, based on that language, Plaintiffs have met their initial burden of showing that Defendant has claimed an interest adverse to Plaintiffs.

Plaintiffs have also satisfied other requirements for their quiet title claim. According to the California Court of Appeal, "[t]o obtain … a quiet title judgment …, a plaintiff must (1) file a verified complaint that specifically names 'as defendants ... [all] persons having adverse claims' to plaintiff's title and must include those 'known to the plaintiff or reasonably apparent from an inspection of the property' itself ([Code Civ. Proc.] § 762.060, subd. (b); see § 761.020; [citation]); (2) file a notice of lis pendens regarding the quiet title action (§ 761.010, subd. (b)); and (3) establish its entitlement to a quiet title judgment with ‘evidence of plaintiff’s title’ …. (§ 764.010; [citations]) ….” (Tsasu LLC v. U.S. Bank Trust, N.A. (2021) 62 Cal.App.5th 704, 716.) Here, Plaintiffs have met those requirements, having (1) filed a verified FAC naming all persons having adverse claims to their title, (2) filed in this action a “Notice of Recording of Notice Pendency of Action Pursuant to C.C.P. § 405.20 (Lis Pendens)” on September 9, 2025, and (3) presented evidence of their title.

Therefore, the Court finds that Plaintiffs have met their “burden of showing that there is no defense to … [their quiet title] cause of action … [by] prov[ing] each element of the cause of action entitling [them] to judgment on the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(1).)

Accordingly, the burden shifts to Defendant to show that a triable issue of one or more material facts exists as to the quiet title claim or his defenses.

In opposition, Defendant first argues that the motion should be denied as to the quiet title claim because he has never claimed ownership in the Property. (Opposition, pp. 12:4-14:10.)

However, the fact that Defendant disclaims interest in the Property does not mean he is entitled to an order denying Plaintiffs' request for summary adjudication of the quiet title claim; on the contrary, his admission is grounds for granting judgment as a matter of law as to that claim. (See Water for Citizens of Weed California v. Churchwell White LLP, supra, 88 Cal.App.5th at pp. 281–282 ["A property owner may bring a quiet title action 'to determine any adverse claim whatever. For [even] if the defendant by his answer disclaims all interest whatever, judgment may, nevertheless, be entered against him, though in such case it must be without costs.' [Citation]"].) Further, as explained above, an adverse claim is not required to be of any particular character. (Id. at p. 281.) It can be of an instance "whereby the plaintiff might be incommoded or damnified by the assertion of an outstanding title already held or to grow out of the adverse pretension." (Ibid.) Here, the recorded document that Defendant admits he signed states that he is the owner of the Property. Such claim can be perceived as being adverse to Plaintiffs' title regardless of Defendant's claims in this case.

Next, Defendant argues that Hawkeye's lease allowed him to sign the MCA. "'The rules governing the role of the court in interpreting a written instrument are well established. The interpretation of a contract is a judicial function. [Citation.] In engaging in this function, the trial court "give[s] effect to the mutual intention of the parties as it existed" at the time the contract was executed. [Citation.] Ordinarily, the objective intent of the contracting parties is a legal question determined solely by reference to the contract's terms. [Citation.]' [Citation.]" (Brown v. Goldstein (2019) 34 Cal.App.5th 418, 432 (Brown).) "'The court generally may not consider extrinsic evidence of any prior agreement or contemporaneous oral agreement to vary or contradict the clear and unambiguous terms of a written, integrated contract.'" (Ibid.) "'Extrinsic evidence is admissible, however, to interpret an agreement when a material term is ambiguous. [Citations.]' [Citations.]" (Ibid.) "'The interpretation of a contract involves "a two-step process: First the court provisionally receives (without actually admitting) all credible evidence concerning the parties' intentions to determine 'ambiguity,' i.e., whether the language is 'reasonably susceptible' to the interpretation urged by a party. If in light of the extrinsic evidence the court decides the language is 'reasonably susceptible' to the interpretation urged, the extrinsic evidence is then admitted to aid in the second step – interpreting the contract. [Citation.]" [Citation.]' [Citations.]" (Id. at pp. 432-433.) "'When there is no material conflict in the extrinsic evidence, the trial court interprets the contract as a matter of law.'" (Brown, supra, 34 Cal.App.5th at p. 433.)

It is undisputed that the lease stated: "Tenant shall be solely responsible for performing or causing to be performed any and all tenant improvement work … including, but not limited to, the procurement of a Conditional Use permit ('CUP') from the appropriate governmental agencies for the use of the Premises as a nightclub and/or restaurant, and the procurement of the required ABC license … from the appropriate governmental agencies." (UMF 90.)

Defendant contends, "[r]easonably interpreted, this Lease provision authorizes the Tenant (Hawkeye) to take the actions needed to 'procure the CUP.' [Citation.]" (Opposition, p. 14:23-27.) In addition, "[s]ince the Lease indisputably authorized Hawkeye to obtain the CUP, and the City required the MCA as a condition of issuing the CUP, Hawkeye's principal [Defendant] McAbian was authorized to sign the MCA on Hawkey's behalf." (id. at p. 15:14-15; see also McAbian Decl., 7 ["Based upon my understanding of [the CUP application] process, and [the contracting parties'] negotiations … at the time the Lease was entered into, it was always my understanding that Hawkeye would be responsible for all steps necessary to obtain the CUP, including the recordation of the

MCA. Further, I understood that the landlord was allowing and requiring Hawkeye to take these steps to procure the CUP …"].)

Defendant also submits the declaration of Elizabeth Gower (Gower), former principal of Elizabeth Peterson Group Inc. (EPG), to support his argument that he was permitted by the City of Los Angeles (City) to sign the MCA. Gower testifies that EPG was retained by Hawkeye to assist its efforts to renew the CUP for the Property. (Declaration of Elizabeth Gower, ¶¶ 2, 6.) She further testifies that at the time of the relevant CUP application, the City's Planning Department used form CP-6770, which had a single signature line that stated, "property owner," and did not include any instructions for signing. (Id. ¶ 9.) However, if the Planning Department determined that a required document was missing a signature from a necessary party, it would deny the application or require signature from the correct party before proceeding with the application. (Id. ¶ 10.)

Here, the Planning Department approved Hawkeye's application even though Defendant was the one that signed the relevant documents and was identified in the department's records "as the Property's Master Lessee rather than the property owner." (Id. ¶10.)

Defendant

also contends that Chang implicitly consented to the CUP renewal and required MCA because Chang did not raise any objection and did not insist that only he could sign the MCA when Chang and Defendant met and discussed the CUP. (Opposition, p. 15:17-27; see McAbian Decl., ¶ 9 [“In 2012 or 2013—but before March 13, 2023—I met with Mr. Chang and had a conversation with him over a meal at Persian restaurant in Los Angeles. During that meeting, we discussed the CUP and moving forward with the plan approval for the CUP, which necessarily requires the execution and recordation of a master covenant and agreement. Mr. Chang was aware and supportive”]; id. 10 [“Mr. Chang never objected to the filing of the plan approval application or the recording of the MCA”].) Defendant cites case law stating that: “‘An estoppel may arise from silence where there is a duty to speak.’” (Opposition, p. 15:24-27, citing Spray, Gould & Bowers v. Associated Internat. Ins. Co. (1999) 71 Cal.App.4th 1260, 1268 (Spray, Gould & Bowers).)

The Court finds the above arguments unpersuasive.

First, even if Defendant believed that the language of the lease allowed him to sign the MCA, Defendant has not submitted extrinsic evidence from which a reasonable fact finder could conclude that the other contracting party also had such intent. Under contract law, """[i]f there is no evidence establishing a manifestation of assent to the 'same thing' by both parties, then there is no mutual consent to contract and no contract formation."' [Citation.]" (Herzog v. Superior Court (2024) 101 Cal.App.5th 1280, 1293 (Herzog).)

Second, Defendant's argument that Chang implicitly consented to Plaintiff signing and recording the MCA to obtain a CUP permit is also unpersuasive. "An estoppel may arise … from silence as well as from words or conduct. But this is only where there is a duty to speak, and where the party upon whom such duty rests has an opportunity to speak, and, knowing that the circumstances require him to speak, remains silent." (Spray, Gould & Bowers, supra, 71 Cal.App.4th at p. 1268 [internal quotation marks removed].) As the reply argues, Defendant does not argue that during the alleged meeting with Chang, "he informed [Chang that Defendant] would be signing the 2013 MCA as the property owner, nor does … [Defendant] say [Chang] authorized him [to do so]." (Reply, p. 9:20-21.) Therefore, there is no evidence of estoppel.

Lastly, Gower's testimony regarding the CUP process, even if true, does not raise a triable issue of material fact regarding (or act as a defense against) Plaintiffs' quiet title claim or any of its elements. For example, it does not challenge Plaintiffs' evidence that they are the owners of the Property and that the language in the MCA could be perceived as an "adverse claim" against Plaintiffs' title.

Defendant raises other defenses to the quiet title claim.

Defendant argues that "[s]ummary judgment or adjudication must also be denied on SCI's quiet title claim (as well as its cancellation of instrument claim) because these claims were released in [a] 2014 Settlement." (Opposition, p. 16:11-12.) Defendant contends: "Following a series of disputes and lawsuits that began in 2011, the landlord (NVH) and tenant (Hawkeye) of the PSX Building [i.e., the Property] entered into, and Chang and McAbian signed, a comprehensive 'Settlement Agreement and Mutual Release of Claims' ('2014 Settlement') in August 2014. [Citing Defendant's separate statement of additional undisputed facts ("D-SSUF")] 140, 141.) The 2014 Settlement was expressly binding on successors in interest such as SCI, and it released claims not only against Hawkeye, but also against Hawkey's members, agents, and all others acting on its behalf, such as McAbian. (D-SSUF, 143-147)." (Opposition, p. 16:13-18.) Although Defendant admits that this Court previously determined, on a demurer ruling, that "the 2014 Settlement was not broad enough to encompass the claims at issue in this lawsuit," he argues that, "on this summary judgment/adjudication motion, the Court confronts the question on a different record. It may no longer assume the complaint's allegations are true but must consider the evidence of the circumstances under which the settlement agreement was executed." (Id. at pp. 16:20-17:2, citing 6/13/25 Minute Order, p. 3, and D-SSUF, 140-147.)

Defendants also contends that the Bankruptcy Court, in the reported decision In re Hawkeye Entertainment, LLC (Bankr. C.D. Cal. 2025) 675 B.R. 595, partially granted Hawkeye's summary judgment motion (the "Bankruptcy Summary Judgment Order"), "specifically address[ing] SCI's claims arising out of McAbian's signing of the MCA in 2013 and concluded that the 2014 Settlement included a general release which bars all claims based on actions that occurred prior to the order approving that settlement." (Opposition, p. 17:4-9.)

The Court finds Defendant's 2014 Settlement and Bankruptcy Summary Judgment Order arguments unpersuasive.

First, "[a] case is not authority for a proposition not considered therein or an issue not presented by its own particular facts." (McConnell v. Advantest America, Inc. (2023) 92 Cal.App.5th 596, 611.) Here, the bankruptcy case concerned Hawkeye's claim that SCI was "precluded from asserting any defaults that may have existed under the Lease prior to the assumption of that Lease in 2014 and 2020." (In re

Hawkeye Entertainment, LLC, supra, 675 B.R. at p. 611.) By way of background, “[p]ursuant to Bankruptcy Code section 365(b), to assume a lease, a debtor in possession must cure existing defaults, compensate for pecuniary loss resulting from those defaults, and provide adequate assurance of future performance with respect to such defaults. Whether and to what extent a lease is in default is the central issue in a motion to assume a lease.” (Id. at p. 599.) In the bankruptcy case, Hawkeye argued “that the New Vision Settlement, which the [Bankruptcy Court] approved in the 2014 Settlement Order, constitute[d] a general release between the Debtor and Smart Capital’s predecessor regarding any claimed breaches or defaults, both known and unknown, based on actions that occurred prior to entry of the 2014 Settlement Order.” (Id. at pp. 619-620 [emphasis added].) The Banktruptcy Court held that “the intent of the parties in the New Vision Settlement is unambiguous per its terms. The parties’ mutual intent was to ‘fully and forever’ ‘resolv[e] all disputes between them’ and ‘to effectuate a full and complete release of any and all claims for relief, whether known or unknown, that may be asserted by them against each other.’ [Citation.] When giving effect to this main purpose, the result is obvious: Smart Capital is precluded from raising any default under the Lease that may have existed prior to entry of the 2014 Settlement Order.” (Id. at p. 620 [emphasis added].) Therefore, as relevant here, the Bankruptcy Summary Judgment Order only concluded that Plaintiffs were precluded from raising any defaults under the lease.

Granted, in the bankruptcy case, SCI argued that "the Debtor's subtenant has been violating the Lease by serving alcohol without the necessary approval of the City of Los Angeles. Its argument is based on tortured logic, but goes something like this: (i) McAbian, the principal of the Debtor and its subtenant, WERM, secured City permission to serve alcohol under the prior authorization, called CUB-PA4, by making fraudulent representations to the City of Los Angeles, (ii) McAbian improperly recorded the CUB-PA4 document in the records of the Los Angeles County Recorder's Office, (iii) based on the foregoing, the CUB-PA4 was void ab initio (even though it was never revoked by the issuing agency and Smart Capital did not seek to revoke it until after it had expired), and (iv) therefore, the Debtor's subtenant has been serving alcohol in violation of the Lease since 2013." (In re Hawkeye Entertainment, LLC, supra, 675 B.R. at p. 617.)

However, that argument was also made in connection with SCI's contention that "it should not be precluded from asserting two specific defaults under the Lease because, at the time of the 2020 Assumption Order, Smart Capital was not aware of the underlying facts, could not have been aware of them, and was prevented from becoming aware of them by Debtor’s purported concealment of them.” (In re Hawkeye Entertainment, LLC, supra, 675 B.R. at p. 617 [emphasis added].) In response, the bankruptcy court held: “First, generally, a party's prior lack of knowledge, or its subsequent discovery of new evidence, is not an exception to the application of claim preclusion. [Citations.] Second, it is not clear in the Ninth Circuit whether there is a ‘fraudulent concealment exception’ to claim preclusion. [Citation.] Third, even assuming such an exception exists, the Court is not persuaded by any evidence in the summary judgment record that Smart Capital was prevented or otherwise unable to discover in the prior case the facts on which these defaults are now asserted.” (In re Hawkeye Entertainment, LLC, supra, 675 B.R. at pp. 617-618.) However, the bankruptcy court did not hold that the general release barred Plaintiffs from bringing the claims asserted in this action.

Ultimately, “[a] release agreement is governed under general principles of contract law. [Citation.] ‘The goal of contractual interpretation is to determine and give effect to the mutual intention of the parties.’ [Citation.] ‘Although the intent of the parties determines the meaning of the contract ..., the relevant intent is “objective”—that is, the objective intent as evidenced by the words of the instrument, not a party's subjective intent.’ [Citation.]” (Otay Land

Co., LLC v. U.E. Limited, L.P. (2017) 15 Cal.App.5th 806, 854–855; see also Herzog, supra, 101 Cal.App.5th at p. 1293 [“‘“Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings”’”].)

Here, Defendant has not pointed to any language in the 2014 Settlement or submitted extrinsic evidence from which a reasonable fact finder could conclude that when the parties executed the settlement, they intended to release Defendant of Plaintiffs’ quiet title claims. Therefore, the Court finds Defendants’ general release arguments unpersuasive.

Next, Defendant argues that Plaintiffs’ claims are barred by the unclean hands doctrine. “The doctrine of unclean hands rests on the maxim that ‘“he who comes into equity must come with clean hands.” [Citation.]’ [Citation.] ‘“It ... closes the doors of a court of equity to one tainted with inequitableness or bad faith relative to the matter in which he seeks relief, however improper may have been the behavior of the defendant.’” [Citation.]’ [Citation.] The decision whether to apply the unclean hands defense is a matter within the trial court's discretion. [Citation.] In exercising this discretion, the court ' must consider the material facts affecting the equities between the parties....' [Citation.]" (Farahani v. San Diego Community College Dist. (2009) 175 Cal.App.4th 1486, 1495–1496.)

Defendant argues that "it would be highly inequitable to allow SCI to retract the authorization and use this action to expunge the MCA, force the cancellation of the CUP, and shut down its tenant's nightclub business" after "[h]aving granted its tenant authority to operate a club in the [Property] and reaped the benefits." (Opposition, p. 19:9-12.)

The Court finds the unclean hands argument unpersuasive. Indeed, other than speculation, Defendant submits no evidence that Plaintiffs are bringing this action with the intention to shut down Defendant's business. (Code Civ. Proc., § 437, subd. (p)(1) [stating that when opposing a motion for summary judgment or adjudication: "The defendant … shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto"].)

Defendant also argues that Plaintiffs' quiet title claim is barred by the doctrine of laches.

"'Laches is based on the principle that those who neglect their rights may be barred, in equity, from obtaining relief.' [Citation.] 'The doctrine of laches is to actions in equity what statutes of limitations are to actions in law.' [Citation.]" (In re Marriage of Parker (2017) 14 Cal.App.5th 681, 687.) "[T]he application of the doctrine of laches requires a showing of prejudice to the party allegedly adversely affected." (Connolly v. Trabue (2012) 204 Cal.App.4th 1154, 1166.)

Defendant argues that he and Hawkeye have been prejudiced by Plaintiffs' delay in bringing the quiet title claim because: "Had NVH or Chang timely raised an objection in 2013, Hawkeye could have sued to compel NVH to sign the MCA, as it did when SCI refused to sign the application of renewal of the CUP in 2022. (D-SSUF, # 122-126, 128, 129, 131, 151.) Nor would McAbian and Hawkeye have entered into the 2014 Settlement and First Amendment to the Lease with its agreed increase in rent had this claim about McAbian's signature on the 2013 MCA been raised previously and not been released in the 2014 Settlement. (D-SSUF, #1400-149.)" (Opposition, p. 20:11-17.)

However, according to case law, "a quiet title action is now considered to be one in law, not equity, and hence the doctrine of laches cannot apply." (Connolly v. Trabue (2012) 204

Cal.App.4th 1154, 1167.)

Therefore, the Court finds

Defendant's laches argument to the quiet title claim unpersuasive.

The Court also finds Defendant's

last argument—that Plaintiffs failed to join the City, which is an

indispensable party—unpersuasive. Defendant contends that the City is an

indispensable party because "[a] quiet title plaintiff must 'name as defendants

the persons having adverse claims that are of record.' (Code Civ. Proc., § 762.060(b).) The City has an adverse claim insofar as SCI

is trying to quiet its title free and clear of the MCA. The City required the

recording of the MCA as a condition of its approving the CUP. (D-SSUF. # 128.)

The MCA also expressly grants the City rights as to the [Property]. It provides

¶: That in consideration of the

Approval of … [relevant CUP] by the Department of City Planning. I (we) do

hereby promise, covenant and agree to and with the City of Los Angeles and the

Department of City Planning of said City that to the extent of our interest, I

(we) acknowledge and will comply with the [attachments to the CUP-PA4 grant]. ¶

([SCI-RJN"] Ex. F, p. 3.)" (Opposition, pp. 20:24-21:4.) "The MCA was recorded

… so the City's adverse interest was 'of record.' SCI was thus required to name

the city as a defendant in its quiet title claim." (Id. at p. 21:5-8.)

Defendant has not cited any law in support of his argument that an MCA recording constitutes the City's assertion of an adverse claim against a property's owner's title. In addition, "[a] person [or entity] is an indispensable party to litigation '"if his or her rights must necessarily be affected by the judgment."' [Citation.]" (Washington Mutual Bank v. Blechman (2007) 157 Cal.App.4th 662, 667.) Here, Defendant has not shown that the City's rights will be affected by a judgment in Plaintiffs' favor.

For the reasons set forth above, the Court finds that Defendant has failed to raise a triable issue of material fact regarding Plaintiffs' quiet title claim.

Accordingly, Plaintiffs' request for summary adjudication of the first cause of action to quiet title is granted.

Plaintiffs are not entitled to summary adjudication of their cancellation of written instrument claim.

A cancellation of written instrument claim is different from a quiet title claim. "Unlike an action for cancelling an instrument, which is aimed at a particular instrument that is a cloud on the property owner's title, an action to quiet title 'is for the purpose of stopping the mouth of a person who has asserted or is asserting a claim to the plaintiff's property. It is not aimed at a particular piece of evidence, but at the pretensions of an individual.'

[Citation.]" (Water for Citizens of Weed California v. Churchwell White LLP, supra, 88 Cal.App.5th at p. 281.)

"To prevail on a claim to cancel an instrument, a plaintiff must allege and prove (1) the instrument is void or voidable; and (2) he or she has a reasonable apprehension of serious injury including pecuniary loss or the prejudicial alteration of their position." (Lauckhart v. El Macero Homeowners Assn. (2023) 92 Cal.App.5th 889, 900 (Lauckhart); see Civ. Code, § 3412 ["A written instrument, in respect to which there is a reasonable apprehension that if left outstanding it may cause serious injury to a person against whom it is void or voidable, may, upon his application, be so adjudged, and ordered to be delivered up or canceled"].) For example, "[a]n instrument may be void or voidable due to fraud in its enactment." (Ibid.)

Here, Plaintiffs argue that the 2013 MCA is void because "as already thoroughly discussed … Defendant lacked the authority to sign, notarize, or record it." (Motion, p. 17:10-11.)

Plaintiffs also argue that they have suffered serious injury because the City informed them that the period to appeal the validity of the relevant CUP ended on March

12, 2013. (See Motion, pp. 19:15-20:2 [“Evidence of this injury was clearly set forth in the City of Los Angeles Zoning Administration’s Letter of Determination dated November 22, 2024. The city’s November 22, 2024 LOD clearly state on page 16 of 53 that, ¶ ‘The property owner claims the subject request for Plan Approval, under CUB PA5, cannot be granted because the underlying entitlement, CUB-PA4, was granted in error and is invalid due to the applicant, instead of the property owner, having signed the application and covenant and agreement. . . In considering the relevance of this issue, the Zoning Administrator has concluded that the discussion on the validity of the CUB-PA4 entitlement is moot. The grant was issued on February 25, 2013, having an appeal period that ended on March 12, 2013, with no appeals filed. The opportunity to challenge that grant and how the covenant was signed prior to its recordation against the property has long passed.’ [PSSUF 106] ¶ Defendant AMcAbian did not inform NVH or Plaintiffs SCI of the signed 2013 MCA other than through its recording. [PSSUF 107] One cannot challenge something that one does not even know existed. Thus, the concealment and lack of informing of the 2013 MCA caused NVH and successor in interest Plaintiffs SCI to lose the opportunity to appeal the 2013 MCA. [PSSUF 108] The lost opportunity prejudices Plaintiffs SCI to this day as the City of Los

Angeles considered Plaintiffs SCI's appeal of Defendant AMcAbian's CUB renewal to CUB PA5 on the basis of the improper signing of the 2013 MCA by Defendant AMcAbian moot"].)

The Court finds that, based on defense witness Gower's testimony, Defendant has established that triable issues of material fact exist regarding whether the 2013 MCA was void.

As for the second element, the Court finds that Plaintiffs have failed to meet their burden of establishing that they have a reasonable apprehension of serious injury. Plaintiffs claim that element does not require showing pecuniary loss and that "'[i]t is sufficient to show that … [they are] in a worse position that [they] would have been.'" (Motion, p. 19:2-5, quoting Turner v. Turner (1959) 167 Cal.App.2d 636, 641.) Here, however, the fact that the City determined Plaintiffs' appeal of the 2013 MCA was moot does not prove that Plaintiffs are in worse position now than they were before the 2013 MCA was recorded.

Given those findings, the Court need not address Defendant's statute of limitation defense at this time.

Accordingly,

Plaintiffs' request for summary adjudication of the second cause of action for cancellation of written instrument is denied.

Conclusion:

Plaintiffs' motion is granted in part and denied in part as follows. The request for summary adjudication of the first cause of action for quiet title is granted. The motion is otherwise denied.